

How SMEs Leverage Outsourcing for Growth

The success of China's export industry is attributed to its small and medium electronics manufacturing companies for integrating outsourcing into their business model. This enabled them to create a cost-effective product by leveraging the capabilities of partners through outsourcing

S.A. SRINIVASA MOORTHY

Outsourcing allowed the Chinese companies to compete globally by optimising their capital investment and developing cost-effective products, propelling them into a leadership position. In India, outsourcing is seen as an expensive approach, especially in the electronics industry. Most companies outsource only capital-intensive or low-end jobs. Industries where capital investment and manual content are high, outsourcing is a way of life. However, most electronics companies in India try to do everything in-house. While this may be cost-effective for large OEMs, it may not be the case for small and medium enterprises (SMEs).

Globalisation makes it important for SMEs to adapt to the changing world. Primary reasons for hesitation in embracing outsourcing are:

1. Lack of understanding of the product life cycle (PLC)
2. Wrong notion that outsourcing is expensive
3. Inability to track the velocity of the technological change and adapt to it

Understanding the product life cycle

Due to changes in technology in the electronics industry, products undergo rapid changes.

A product is no longer a standalone entity—selling it is like selling a service, and customers expect product support as part of the package for as long as they use the product. For example, an SME can provide a voltage stabiliser along with the refrigerator or integrate

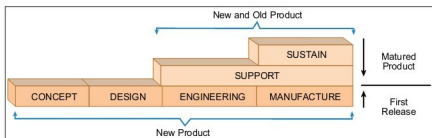


Fig. 1: Typical life cycle of a product

its functions inside the refrigerator itself. Today, with an increase in focus on a safe environment, assisting customers in the safe-disposal or recycling of a product has increased the need for understanding the complete PLC. This helps original equipment manufacturers (OEMs) in three ways:

1. Creating a long-lasting product
2. Satisfied and loyal customers
3. Sustained and predictable profits

A PLC includes interconnected phases of a product from its creation to disposal (Fig. 1).

This model can be applied to any product and is divided into two phases. First phase consists of four sub-phases, starting from conception to manufacturing. Once a product reaches the market, the second phase kicks in and this consists of two sub-phases—support and sustain. When a product is under production and needs support to continue manufacturing, it falls under the support phase. The sustain phase is when active production is either stopped or reduced in volume, but the end users may still be using the products and might need support. This is where capital equipment are involved. Typically, capital

equipment have a long life and need support till the time they are withdrawn from service. Table I provides the different activities of each phase and a brief description of each activity.

It is clear from the table that each phase of a PLC includes multiple activities. When an OEM starts outsourcing, each step becomes mandatory. Since a PLC incorporates these activities distinctively, migrating to outsourcing becomes smoother, as and when required. A PLC helps OEMs' current businesses as well.

Paradigm shift in electronics industry

In the last decade, the biggest change in the electronics industry has been in the way products are developed, manufactured, distributed and supported. Conventionally, OEMs performed every step of the PLC at their end. Rapidly changing technology has forced companies to look at outsourcing seriously—they now have lesser time to get their product to the market. This has encouraged them to focus only on their core activities and outsource the rest. This means that a company will design and develop a product that would be manufactured by another party, and